

Quarterly Report on Form 10-Q

Vertex Mobility Systems, Inc. (NYSE: VMBS)

For the quarterly period ended June 30, 2024 (Q2 fiscal year 2024)

SYNTHETIC SAMPLE DOCUMENT. This is a fictional company and every figure below is invented for testing purposes. This report is provided as a synthetic example and has not been reviewed by the Securities and Exchange Commission (SEC) or any auditor.

Item 2. Management's Discussion and Analysis

Total revenue was \$1,128 million for the quarter covered by this report, an increase of 12% compared with \$1,006 million in the comparable prior-year period. Growth reflected higher customer demand across our principal operating segments.

Gross margin was 29.7% for the period, compared with 27.8% in the comparable prior-year period, reflecting changes in product mix, operating scale, and cost management initiatives.

Operating income was \$93 million, compared with \$71 million in the comparable prior-year period. Operating expenses increased as we continued investing in technology, personnel, and growth initiatives.

Net income was \$68 million, compared with \$52 million in the comparable prior-year period.

Segment Results

Revenue and operating income by reportable segment for the period were as follows.

Segment	Period Revenue	Prior-Year Revenue	Period Operating Income
Electric Vehicles	604	521	48
Fleet Solutions	336	311	31
Mobility Software	188	174	14

Electric Vehicles was the largest segment by revenue, contributing \$604 million during the period.

Condensed Consolidated Balance Sheets

Item	June 30, 2024	December 31, 2023
Total current assets	612,500	559,300
Total assets	2,408,100	2,176,500
Total current liabilities	481,600	449,700
Total liabilities	1,374,200	1,283,900
Total stockholders' equity	1,033,900	892,600

Total assets were \$2,408,100 thousand and total stockholders' equity was \$1,033,900 thousand at the end of the reporting period.

Condensed Consolidated Statements of Cash Flows

Net cash provided by operating activities was \$201 million, compared with \$157 million in the comparable prior-year period. Net cash used in investing activities was \$88 million, while net cash used in financing activities was \$29 million.

Item 1A. Risk Factors

Demand for electric vehicles and fleet solutions may be affected by consumer financing conditions, incentives, and broader economic conditions.

We depend on battery cells, power electronics, and other components from a limited number of suppliers. Supply shortages could delay production.

Rapid changes in vehicle technology and charging infrastructure may require continued investment and could affect product competitiveness.

Item 4. Controls and Procedures

Based on an evaluation as of the end of the period covered by this report, management concluded that the company's disclosure controls and procedures were effective. No change in internal control over financial reporting occurred during the reporting period that has materially affected, or is reasonably likely to materially affect, internal control over financial reporting.